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CASE #	CASE NAME	HEARING NAME
CVME2512914	FIELDS VS FAST MOSS, INC.	MOTION FOR PROTECTIVE ORDER

Tentative Ruling: The motion is moot. Plaintiff's request for sanctions is granted in the amount of \$1,250 payable within 30 days of this order.

5.

CASE #	CASE NAME	HEARING NAME
CVME2600067	BASS VS CLENNAN	DEMURRER

Tentative Ruling: Request for Judicial notice Granted. Demurrer sustained with 20 days leave to amend with the exception of the Eighth Cause of Action for Unjust Enrichment in which leave to amend is denied. Further Demurrer overruled to the ninth Cause of Action (Rosenthal). Defendants request judicial notice of several documents filed in *Bass v. Clennan*; Case No. 5:25-cv-01298-SSS-SHK ("Federal Action") in the United States District Court, Central District of California. These documents may be judicially noticed pursuant to Evid. Code §452(d), which permits judicial notice of court records. However, "although the existence of a document may be judicially noticeable, the truth of statements contained in the document and its proper interpretation are not subject to judicial notice if those matters are reasonably disputable." (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal. App. 4th 97, 113.) **Collateral Estoppel** - Defendants argue that Plaintiff's claims against them are barred under the doctrine of collateral estoppel. "The doctrine of res judicata precludes parties or their privies from relitigating a cause of action that has been finally determined by a court of competent jurisdiction." (*Bernhard v. Bank of America Nat'l Trust & Sav. Association* (1942) 19 Cal. 2d 807, 810.) The doctrine of res judicata has two aspects: the first is referred to as claim preclusion, which operates as a bar to the maintenance of a second suit between the same parties on the same cause of action, and the second as collateral estoppel, or issue preclusion, which applies in a second suit based on a different cause of action where a prior judgment in a prior suit operates as a conclusive adjudication as to such issues as were actually litigated and determined. (*Ibid.*) "Collateral estoppel precludes relitigation of issues argued and decided in prior proceedings." (*Lucido v. Superior Court* (1990) 51 Cal. 3d 335, 341.) "Collateral estoppel means simply that when an issue of ultimate fact has once been determined by a valid and final judgment, that issue cannot again be litigated between the same parties in any future lawsuit." (*Lucas v. County of Los Angeles* (1996) 47 Cal. App. 4th 277, 286.) There are five threshold issues for the application of collateral estoppel: (1) the issue sought to be precluded must be identical to that decided in a former proceeding; (2) the issue must have been actually litigated in the former proceeding; (3) it must have been necessarily decided in the former proceeding; (4) the decision in the former proceeding must be final and on the merits; and (5) the party against whom preclusion is sought must be the same as, or in privity with, the party to the former proceeding. (*Lucido, supra*, 51 Cal. 3d at 341.) The party asserting the preclusion has the burden of establishing each of these elements. (*Ibid.*)

A judgment given after the sustaining of a demurrer may be a judgment on the merits if it is substantive, such as where the earlier demurrer was based on the failure of the facts to establish a cause of action and the same facts are pled in the second action; however, a judgment on a general demurrer that was sustained for technical or formal reasons may not be a final determination on the merits. (*Goddard v. Security Title Ins. & Guarantee Co.* (1939) 14 Cal. 2d 47, 52.) Moreover, if the second action alleges new or different facts that correct the prior omissions, the prior judgment may not be a bar. (*Ibid.*) The judgment after sustain a demurrer “is a judgment on the merits to the extent that it adjudicates that the facts alleged do not constitute a cause of action...If, on the other hand, new or additional facts are alleged that cure the defects in the original pleading, it is settled that the former judgment is not a bar to the subsequent action whether or not plaintiff had an opportunity to amend his complaint.” (*Wells v. Marina City Properties, Inc.* (1981) 29 Cal. 3d 781, 789; citing *Keidatz v. Albany* (1952) 39 Cal.2d 826, 828.)

On May 28, 2025, Plaintiff filed his Complaint in the Federal Action, asserting claims based on the alleged fraudulent financial transaction resulting from the restrictive signature requirement and securitization of the November 21, 2024 promissory note. (RJN, Ex. 1.) Defendants filed a Motion for Judgment on the Pleadings on grounds that the District Court lacked subject matter jurisdiction and personal jurisdiction over Clennan, and because the Complaint was vague and unintelligible in violation of Rule 8(a). (RJN, Ex. 2.) In granting Defendants’ Motion, the District Court held that Plaintiff did not meet the requirements under Fed. R. Civ. P. §8(d)(1) that each allegation must be simple, concise and direct. (RJN, Ex. 6.) The Court stated, “it is unclear to the Court, as it is to Defendants, how the alleged facts are connected to the purported legal theories and how Defendants’ alleged actions have specifically caused Plaintiff harm.” (*Id.*) The Court dismissed the Federal Action without prejudice and granted leave to amend, finding that amendment would not be futile. (*Id.*) Because the District Court found the Complaint unintelligible, it did not address the substance of Plaintiff’s claims. Because there was no adjudication on the merits, the claims are not barred by collateral estoppel.

Second Cause of Action - Wrongful Foreclosure - The elements of a wrongful foreclosure claim are: (1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering. (*Lona v. Citibank, N.A.* (2011) 202 Cal.App.4th 89, 104.) Generally, a party challenging a foreclosure must make full tender to establish his or her ability to purchase the property. (*United States Cold Storage v. Greater Western Savings & Loan* (1985) 165 Cal. App. 3d 1214, 1225.) However, tender may not be required where: (1) the borrower attacks the validity of the underlying debt; (2) the borrower has a counterclaim or setoff; (3) it would be inequitable to require tender; and (4) the deed of trust is void on its face. (*Lona v. Citibank, N.A.* (2011) 202 Cal.App.4th 89, 112-113.)

Plaintiff alleges that the attempted foreclosure is wrongful because: (a) the second promissory note was obtained under duress; (b) Plaintiff timely rescinded the promissory note; (c) Defendants failed to comply with the HBOR’s dual tracking and single point of contact requirements; (d) failed to respond to QWRs and billing error notices; and (e) Defendant failed to properly credit Plaintiff’s equitable contributions and

failed to account for securitization proceeds. (Comp., ¶68.) As explained more fully below, Plaintiff has not established that the second note was obtained under duress or that the promissory note was properly rescinded. Additionally, Plaintiff's HBOR violation claim is uncertain. Because there are no facts showing that the promissory note or DOT are void, Plaintiff must allege tender, which he failed to do.

Third Cause of Action - Violations of the Homeowners' Bill of Rights - The Homeowner Bill of Rights was enacted to ensure that "as part of the nonjudicial foreclosure process, borrowers are considered for, and have a meaningful opportunity to obtain, available loss mitigation options, if any, offered by or through the borrower's mortgage servicer, such as loan modifications or other alternatives to foreclosure. (*Valbuena v. Ocwen Loan Servicing, LLC* (2015) 237 Cal. App. 4th 1267, 1272.) The statute prevents "dual tracking" which occurs when a bank forecloses on a loan while negotiating with the borrower to avoid foreclosure. (*Valbuena v. Ocwen Loan Servicing* (2015) 237 Cal. App. 4th 1267, 1272). However, the mortgage servicer has no duty to agree to a loan modification and lenders are not required to take any action. (*Hamilton v. Greenwich Investors* (2011) 195 Cal. App. 4th 1602, 1617.)

The third cause of action appears to be based on dual-tracking and the failure to provide a single point of contact. (Comp., ¶72, 73.) However, there are no facts showing that Plaintiff requested or completed a loan modification application pursuant to the statute. Statutory causes of action, must be pleaded with particularity. (*Covenant Care v. Superior Court* (2004) 32 Cal. 4th 771, 790)

Fourth Cause of Action - Fraud: Duress and Non-Disclosure - The elements of fraud are: (1) misrepresentation or concealment, (2) knowledge of falsity, (3) intent to defraud, (4) justifiable reliance, and (5) resulting damage. (*Lovejoy v. AT&T Corp.* (2004) 119 Cal. App. 4th 151, 157-158.) Every element of the cause of action must be pled factually and specifically and the policy of liberal pleading does not apply. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal. 4th 26, 47.) This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (*Lazar v. Superior Court* (1996) 12 Cal. 4th 631, 645.) "The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if he or she had known of the concealed or suppressed fact; and (5) plaintiff sustained damage as a result of the concealment or suppression of the fact." (*Graham v. Bank of America, N.A.* (2014) 226 Cal. App. 4th 594, 606.)

Plaintiff alleges that Defendants Clennan and MSF committed actual fraud and constructive fraud on November 21, 2024, by coercing Plaintiff to sign a second promissory note under an explicit threat of losing his home and \$374,200 investment and failing to disclose the lack of new consideration for the second note. (Comp, ¶77.) However, there are no facts showing that Defendants made such a threat. This so-call threat appears to be only the demand that Plaintiff remove the term "without prejudice" from the signature acknowledgement in order to proceed with the loan. (Id at ¶¶30-37.) This is not an explicit threat to foreclose on Plaintiff's home or deprive him of a \$374,200 investment, most of which appears to be the money loaned by MSF.

The fraud cause of action is also based on allegations that Defendants failed to disclose that the loan was securitized or monetized. However, Plaintiff has not established that there was a duty to disclose this information or that the failure to

disclose the alleged securitization was the cause of any damages. (See *Bank of America Corp. v. Superior Court* (2011) 198 Cal.App.4th 862, 872-873.)

Fifth Cause of Action - Breach of Contract - "A cause of action for breach of contract requires pleading of a contract, plaintiff's performance or excuse for failure to perform, defendant's breach and damage to plaintiff resulting therefrom." (*Spinks v. Equity Residential Briarwood Apartments* (2009) 171 Cal. App. 4th 1004, 1031.) "If [an] action is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference." (*Harris v. Rudin, Richman & Appel* (1999) 74 Cal.App.4th 299, 307.) The plaintiff may also plead the legal effect of the contract. (*Construction Protective Services, Inc. v. TIG Specialty Ins. Co.* (2002) 29 Cal.4th 189, 198-199.)

The Promissory Note is attached to the Complaint. Plaintiff alleges that Defendants breached the contract by: (1) demanding a second note without consideration and under duress; (2) failing to disclose securitization and monetization; (3) failing to properly apply payments; (4) initiating foreclosure despite rescission; and (5) violating statutory duties incorporated into the contract. (Comp, ¶ 84.) However, it is not clear that the contract required Defendants to disclose securitization or monetization or how any payments were misapplied. More importantly, Plaintiff does not allege that he performed under the contract by making all monthly payments. Instead, it appears that Plaintiff claims that he was not required to make the monthly payments because he rescinded the note due to duress. A party to a contract may rescind the contract if: (1) the consent of the rescinding party was obtained by mistake, through duress, menace, fraud, or undue influence, by another party to the contract; or (2) if consideration for the obligation of the rescinding party fails (Civ. Code § 1689(b)(1) and (2).) To rescind a contract, the rescinding party must, upon discovering the facts that entitle him or her to rescission, promptly give notice of rescission and restore to the other party everything of value, which he or she has received under the contract, or offer to restore said funds upon condition that the other party do the same. (Civil Code §1691.) The purpose of rescission is to restore the parties to the positions they would have been in had they not entered the contract. (*Akin v. Certain Underwriters at Lloyd's of London* (2006) 140 Cal. App. 4th 291, 298.) Here, Plaintiff does not allege that he returned the loan money to Defendants with his Notice of Rescission. Plaintiff has not adequately pled either performance under the contract or valid rescission of the contract.

Sixth Cause of Action - Quiet Title - A quiet title action seeks to establish an interest in real property as between adverse claimants. (*Deutsche Bank National Trust v. McGurk* (2012) 206 Cal. App. 4th 201, 210.) The elements are: (1) the plaintiff is the owner and in possession of the land; and (2) defendant claims an interest adverse to the plaintiff. (*South Shore Land Co. v. Peterson* (1964) 226 Cal. App. 2d 725, 740-741.) "The object of the action is to finally settle and determine, as between the parties, all conflicting claims to the property in controversy, and to decree to each such interest or estate therein as he may be entitled to." (*Weeden v. Hoffman* (2021) 70 Cal. App. 5th 269, 291.) A mortgagor must meet the tender requirement to maintain a cause of action to quiet title against the mortgagee. (See *Fonteno v. Wells Fargo Bank, N.A.* (2014) 228 Cal.App.4th 1358, 1372; *Lueras v. BAC Home Loans Servicing, LP* (2013) 221 Cal.App.4th 49, 86-87.)

Like the wrongful foreclosure cause of action, the quiet title action fails because Plaintiff does not allege that he tendered the loan amount or that any exception to the tender rule apply.

Seventh Cause of Action - Declaratory Relief - Pursuant to CCP §1060, any person under a written instrument who desires a declaration of his or her rights or duties with respect to another, may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an action or cross-complaint in the superior court for a declaration of his or her rights or duties. To demonstrate entitlement to declaratory relief, a plaintiff must show that the action presents “two essential elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party.” (*Lee v. Silveira* (2016) 6 Cal.App.5th 527, 546.) An actual controversy “encompasses a probable future controversy relating to the legal rights and duties of the parties. [Citation]. It does not embrace controversies that are conjectural, anticipated to occur in the future, or an attempt to obtain an advisory opinion from the court.” (*Ibid*; see also *City of Cotati v. Cashman* (2002) 29 Cal.4th 69, 79.) Moreover, declaratory relief is not appropriate to remedy past wrongs. (*California Insurance Guarantee Assn. v. Superior Court* (1991) 231 Cal.App. 3d 1617.)

Plaintiff argues that actual controversies exist as to the validity and enforceability of the first and second promissory notes, the effect to Plaintiff’s rescission and lawfulness of Defendants’ securitization without disclosure and whether Defendants may lawfully foreclose. (Comp., ¶¶93.) He seeks declarations that the second promissory note is void due to duress and lack of consideration; that the DOT is void and unenforceable due to rescission and statutory violations, that Defendants have no right to foreclose and the Plaintiff owns the Subject Property free of Defendants’ adverse claims. (*Id* at ¶¶94.) Thus, the declaratory relief cause of action is derivative of the other claims raised in the Complaint, which are factually deficient. (See *Allied Anesthesia Medical Group, Inc. v. Inland Empire Health Plan* (2022) 80 Cal. App. 5th 794, 813.)

Eighth Cause of Action - Unjust Enrichment - Unjust enrichment applies when the defendant receives a benefit and the unjust retention of the benefit at the expense of the plaintiff and the plaintiff does not get the exchange he expected. (*Peterson v. Celco Partnership* (2008) 164 Cal. App. 4th 1583, 1593.) The equitable remedy of unjust enrichment is “an *obligation* (not a true contract) created by the law without regard to the intention of the parties, and is designed to restore the aggrieved party to his or her former position by return of the thing or its equivalent in money.” (*Federal Deposit Ins. Corp. v. Dintino* (2008) 167 Cal. App. 4th 333, 346, emphasis in original.) A cause of action for unjust enrichment is not an action on a contract, but rather an obligation created by law for reasons of justice. (*Ibid*.) The theory is inapplicable when an express contract exists since “there is no equitable reason for invoking restitution when the plaintiff gets the exchange he expected.” (*Durell v. Sharp Healthcare* (2010) 183 Cal.app.4th 1350, 1380-1371.)

Plaintiff asserts that Defendants have been unjustly enriched through the securitization and monetization of Plaintiff’s note, the use of his property and credit to generate profits, and the pursuit of foreclosure despite having already obtained substantial value from the transaction. (Comp, ¶¶97.) However, it is not clear that Defendants received any payments or anything of value from Plaintiff that should be returned. Additionally, the Complaint clearly alleges the existence of an express contract, i.e. the promissory note and DOT. Since an express contract exists, it does not appear that Plaintiff can amend the Complaint to cure the defects. Leave to amend is denied.

Ninth Cause of Action - Violations of the Rosenthal Fair Debt Collection Practices Act - The Rosenthal Act is the statutory equivalent of the Federal Fair Debt Collection

Practices Act. The purpose is “to prohibit debt collectors from engaging in unfair or deceptive acts or practices in the collection of consumer debts and to require debtors to act fairly in entering into and honoring such debts.” (Civil Code § 1788.1(b).) Although Defendants appear to demur to this cause of action, it is only asserted against Co-Defendants McCalla and Affina. As such, Defendants do not have standing to challenge this cause of action.

First Cause of Action - Injunctive Relief - Although strictly speaking, an injunction is a remedy rather than a cause of action, a cause of action is also commonly used in pleading as applying only to the relief sought, even though separately pleaded claims have origin in the same right or obligation. (*McDowell v. Watson* (1997) 59 Cal. App. 4th 1155, 1159.) The elements of a cause of action for injunctive relief are (1) a tort or other wrongful act constituting a cause of action; and (2) irreparable injury, i.e., a factual showing that the wrongful act constitutes an actual or threatened injury to property or personal rights which cannot be compensated by an ordinary damage award.” (*Brownfield v. Daniel Freeman Marina Hospital* (1989) 208 Cal. App. 3d 405, 410.) To state a cause of action for an injunction, the complaint must plead facts that warrant injunctive relief. (*San Francisco v. Market S. R. Co.* (1950) 95 Cal. App. 2d 648, 656.)

As stated above, Plaintiff has not sufficiently pled wrongful acts based on wrongful foreclosure activities, fraud or duress, violations of the HBOR or breach of contract. Therefore, he has not satisfied the first element necessary for a claim for injunctive relief or the Accounting Cause of Action.